

Checkpoint and context management instructions

Injected into every Claude Code session prompt.

Claude Code reads this and writes CHECKPOINT.md /
CONTEXT_EXHAUSTED.md

accordingly — triggering the handoff-watch.sh daemon.

CHECKPOINT AND CONTEXT MANAGEMENT (READ BEFORE STARTING)

You are running inside a managed session with automatic context-exhaustion handling. Follow these rules exactly:

1. Periodic progress checkpoints (every 5 functions or domain boundary)

After every 5 functions implemented (or at the end of each sub-category), write to `CHECKPOINT.md` in the workspace root:

```
# CHECKPOINT — [timestamp]
## Phase: [P2/P5/etc]
## Domain: [e.g. Credit Risk]
## Teammate: [if Agent Teams]

### Completed
- [FunctionName]: [test status: PASS/FAIL]
- ...

### In progress
- [FunctionName]: [what was done, what remains]

### Next
- [FunctionName]: [brief description]

### Known issues
- [any Numba rule violations found, regulatory threshold questions, etc.]

### Git state
- Branch: [branch name]
- Last commit: [short message]
```

After writing CHECKPOINT.md, immediately run:

```
git add -A && git commit -m "checkpoint([domain]): [N] functions complete, [M] tests passing"
```

2. Context exhaustion signal

When you notice any of these signals — you feel uncertain about content from early in the session, responses feel slower, or you've implemented more than 15 functions — do the following BEFORE stopping:

1. Complete the current function and its test (do not stop mid-function)
2. Run: `git add -A && git commit -m "progress([domain]): [summary]"`
3. Write `CONTEXT_EXHAUSTED.md` in the workspace root with this exact structure:

```

# CONTEXT EXHAUSTION HANDOFF
## Phase: [phase]
## Domain: [domain]
## Machine: [intel/m4]
## Mode: [sequential/agent-teams]
## Teammate: [name if agent teams, or "solo"]

## State at handoff
- Functions completed: [list with test status]
- Functions remaining: [list from pyvar_functions.csv]
- Last commit: [git log --oneline -1]
- Branch: [git branch --show-current]

## Resume instruction
Read CLAUDE.md in full before continuing.
Read CHECKPOINT.md for current state.
Continue implementing the [domain] domain.
Next function to implement: [function name]
All completed functions have passing tests – do not re-implement them.

## Critical context to carry forward
[Any regulatory threshold questions, Numba rule edge cases, or
architectural decisions made in this session that the next session must know]

```

4. Stop. The handoff daemon will start a new session automatically (Option A) or prompt for confirmation (Option C).

3. Sequential fallback signal

If you are in Agent Teams mode and the session becomes unstable (context confusion, repeated errors), write `SWITCH_TO_SEQUENTIAL.md` with:

- What has been completed in your worktree
- The exact next function to implement
- Your branch name

Then commit and stop. The operator will merge your worktree and continue the remaining domains sequentially.